NATURAL GROCERS VITAMIN CTGE NGVC

August 11, 2026 - 3:40pm EST
by SamPR

			2026	2027
Price:	27.80	EPS	2.11	2.30
Shares Out. (in M):	23	P/E	13.2	12.1
Market Cap (in $M):	647	P/FCF	0	0
Net Debt (in $M):	0	EBIT	0	0
TEV (in $M):	0	TEV/EBIT	0	0

Description

On 5/15/2024, I pitched NGVC as a long on VIC at $21. On 11/23/2024, I recommended exiting the position at $46. Today, with the stock at $27.80, it is worth revisiting. NGVC is again a core long position in my portfolio (*not investment advice – do your own research*).

Natural Grocers by Vitamin Cottage ("NGVC") is the healthiest American grocery chain at scale (at least that I am aware of). All of the produce is organic. The store is full of organic whole foods and nutritional supplements. In other words, it's on-trend for health and wellness.

I believe the stock has been excessively volatile due to:

1. Because this was a micro-cap, broken IPO years ago, analyst coverage and investor attention has been lacking; that's changed very recently
2. The stock got "rediscovered" in the past couple of years, leading to hype rapid turnover of the shareholder base
3. The weak hands have been folding as momentum went quickly from very positive to very negative. This will settle out

For the past seven full fiscal-years (2019 - 2025) comparable store sales have averaged 5.2%, which indicates that the company is competitively strong and winning business. And the stock trades at just 13x TTM earnings. That's pretty much all you need to know. This is a competitively healthy (oops, pun intended) consumer staples retailer that's on the right trends with a very reasonable valuation.

Further sections in this write-up:

- Further discussion of comps and why the stock has sold off
- Comparison to SFM: NGVC looks superior across many metrics
- Valuation and growth algorithm

Further discussion of comps and why the stock has sold off:

Comparable-store sales growth over any measurement period greater than one year indicates that the chain is gaining traction with customers and taking share from other grocery stores:

	NGVC
Trailing 12 months comp	1.9%
FY 2025 comps	7.3%
2019 - 2025 average comp	5.2%
2016 - 2025 average comp	4.4%
2011 - 2025 average comp	5.5%

In grocery retailing, sales per square foot is critical, as it allows fixed operational costs (facilities and labor) to be leveraged across a greater sales base, permitting lower prices and lower gross margins, while maintaining shareholder ROE. This leverage is the fundamental competitive advantage in grocery, and it's the reason that Costco and Walmart trade at 30 - 50x P/E.

The first derivative of sales per square foot is comparable-store sales, so that metric tells us if a grocery store is getting more or less competitive. NGVC's long-term track record of comparable-store sales, while not as good as Costco's, is top quartile for any staples retailer, indicating that the company has invested in its competitiveness over many years.

The stock has sold off because recent comps have been weak:

	NGVC
Q3 midpoint guidance	3.6%
Q2 2026	1.2%
Q1 2026	0.5%
Q4 2025	1.7%
Q3 2025	4.2%
Q2 2025	7.4%

Q1 2025	8.9%
Q4 2024	8.9%
Q3 2024	7.1%

*Notes:

1. These are calendar quarters, rather than fiscal quarters. The recently reported fiscal Q3 is listed in the table as calendar Q2 (June 30th 2026).
2. I've backed into the Q3 midpoint guide by taking FY guidance of 1.5 - 2.0% (1.75% at the midpoint) and figuring what Q3 has to be to make the FY 1.75%. Note that the full year is comprised of Q4 2025 through Q3 2026 as per the note 1 above

I find NGVC comps tend to be lumpier than other grocers. My hypothesis is that health and wellness trends have minicycles that caused (for whatever reason) comps to be very strong in 2024 and 1H 2025, and a bit weaker today. Whatever the reason, I am comforted by the long-term track record of MSD comps going back to 2011.

Comparison to SFM: NGVC looks superior across many metrics:

Non SFM followers may not care about this section, but I include it given that SFM has been a VIC favorite (written up seven times), so many readers will relate to the comparison.

NGVC looks better than SFM across many metrics:

	NGVC	SFM
Concept	Authentically healthy	Fresh focused
TTM P/E valuation	13	16
Trailing 6 months comp	0.9%	-1.4%
Trailing 12 months comp	1.9%	1.2%
Trailing 24 months comp	5.0%	5.8%
2019 - 2025 comp	5.2%	3.1%
2011 - 2025 comp	5.5%	4.7%
Store growth	4-5%	8-10%
Margin outlook	Stable	May need to lower gross margin

The main thing that keeps me out of SFM is the last point on margins: prices (and therefore gross margins) may be offsides. The comments in two most recent SFM write-ups expand on this point, and I won't go into it here because it's not relevant for NGVC. I can elaborate in the comments if anyone doesn't understand.

Growth algorithm and valuation:

NGVC grew the store base too quickly from 2010 to 2018, adding an average of 14 stores per year during those years. The immature management team made mistakes during this growth, forcing the company to retrench and reduce store growth, which has averaged just 2.5 stores per year (1.5% growth) for the past six years. This year, they will do 6-7 stores (3.8% growth), and they aspire to 5% store growth.

Going forward, I assume 4-5% new-store growth, driving 3-4% revenue growth. Adding ~3.5% in comparable-store sales growth, I assume total revenue and net income growth to be ~7% in the medium-term..

Because accounts payable and investories are roughly equal, we can approximate NGVC FCF as net income plus D&A less capex:

	4% store growth	5% store growth	6% store growth
EPS	$2.09	$2.09	$2.09
D&A	$1.40	$1.40	$1.40
Capex	$2.04	$2.34	$2.47
FCF / share	$1.45	$1.15	$1.02
FCF yield	5.5%	4.4%	3.9%
Dividend yield	2.3%	2.3%	2.3%

Historically, NGVC has paid extraordinary special dividends as cash builds. Management is conservative and cagey, making store-growth and dividends hard to predict. As NGVC is now accelerating store growth, I assume they will wait to see how fast they can grow before distributing more cash. However, I am confident that the medium-term shareholder return will be driving by the revenue growth (HSD) and the free cash available to distribute through dividends

(MSD). All in, NGVC feels like a safe double-digit TSR.

There is a reasonably-likely upside case where NGVC accelerates store growth to HSD and comps also revert to MSD, driving >10% revenue growth. I would expect the stock to trade well above 20x P/E in this scenario. We were there in 2024, and could be there again very quickly.

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Comps normalize; shareholder base stabilizes

Messages

Subject	Grocery competition
Entry	08/11/2026 07:19 PM
Member	Soprano14

How do you think about Whole Foods' (and SFM) expansion plans impacting NGVC?

Also, for the broader small regional grocery space -- shouldn't Amazon's expansion of same day delivery be quite negative?

Thanks in advance for your thoughts.

Subject	Re: Grocery competition
Entry	08/11/2026 07:57 PM
Member	Bill

I had a similar thought. Perhaps comps are going down because many other grocers are now offering organic foods. I sometimes shop at stop&shop and have noticed they are now offering many more types of organic foods under their private label Natures Promise. I regularly purchase these organic foods as I'm sure others are doing. What happens to NGVC long-term growth if traditional grocers continue to rapidly expand organics?

Subject	Re: Re: Grocery competition
Entry	08/12/2026 11:02 AM
Member	SamPR

"How do you think about Whole Foods (and SFM) expansion plans impacting NGVC?"

I don't worry about WFM and SFM any more than strong chains like Kroger, Aldi, and Walmart, not to mention strong regionals like HEB (Texas). Yes, WFM and SFM are more in the "healthy" space, but the others are more important competitors just due to their scale.

Grocery is competitive, and competition often comes in waves and cycles due to a large competitor deploying massive store growth or going on an aggressive campaign to lower prices. For example, from 2007 - 2013, Kroger had a campaign to "invest in price" (industry talk for lowering prices period after period, while trying to make up for it in subsequent years by sales gains and/or sg&a savings). The strategy was a response to Walmart's earlier expansion into grocery. That period was consequently hard for grocers, and it led to Safeway and Supervalu closing/restructuring (they tried to hold their higher prices, and sales slowly dribbled out, a death cycle for a grocer). Another example was 2016/2017, when Aldi made a big unit expansion push. You can see the effect of that in Kroger's stock price during that period.

These things are happening all the time, and it's often hard to identify which part of the cycle we're in until afterward. The best "defense" for a grocer is investing in good prices and quality experience for the customer and therefore growing the sales base (by driving comparable store sales). I believe that NGVC has had this focus for several decades, so they are competitively strong.

"Shouldn't Amazon's expansion of same day delivery be quite negative?"

Amazon is another competitor, and they have increased grocery efforts in one way or another for the past 20 years. I don't see today being any step function difference vs. what has happened before.

"Perhaps comps are going down because many other grocers are now offering organic foods".

Yes, organic foods are growing at conventional grocers, and have been doing so for 20 years.

We shouldn't overthink why comps are going up or down *right now* because they always go up or down, but remarkably, they've been positive each year for at least fifteen years (and very high on average). I'm copying NGVC's comps data back to when it's first available.

2011	4.9%
2012	11.3%
2013	11.1%
2014	5.6%
2015	5.9%
2016	1.4%
2017	0.1%
2018	5.8%
2019	3.1%
2020	12.0%
2021	0.7%
2022	2.6%
2023	3.6%
2024	7.0%
2025	7.3%

Subject	Re: Re: Re: Grocery competition
Entry	08/12/2026 03:23 PM

Member Soprano14

Isn't this a step change from Amazon? Or how do you think about this?

- Over 2,300 cities and towns can now get fresh groceries at consistently low prices through Same-Day Delivery, with continued expansion to even more areas coming in 2026.
- https://www.aboutamazon.com/news/retail/amazon-same-day-fresh-grocery-delivery-united-states

---

Subject A few follow-up questions
Entry 08/13/2026 09:14 AM
Member GLSV

Thanks for the write up and idea. I don't have one of these near me so I've never gone deep on this name.

1) Have you run or seen a pricing study vs health competition (WFM, Fresh Market, SFM, Fresh Thyme, etc.). Curious how the basket compares.

2) Sense of the unit economics for NVGC customers? frequency of shop per year? per month? basket size in terms of items and $? Trying to understand if NVGC customer is more like SFM where they are basically supplementing their regular grocer once a month.

3) I still struggle with why SFM/NGVC comps went crazy last few years and then stopped. Obviously difficult compares but the 2-year comp decell'd and seems to be on a new trajectory. Been trying to understand this better for a while and nobody seems to be able to answer.

4) Curious how they look to new markets, wondering if some nuanced real estate strategy here or if it's just plant these things in granola areas where there isn't a SFM/WFH a few miles near.

5) How do they approach sourcing organic food? In response to other's questions, yes trad grocers are now adding organic but the quality is super low. Organic at KR is not the same as organic at WFM/SFM/Fresh market. If you are a serious organic customer, you aren't buying organic at KR/ACI.

Subject Re: Re: Re: Re: Grocery competition
Entry 08/13/2026 10:18 AM
Member SamPR

Hi Soprano, thanks for pushing me on this. It's a good question.

First, some background about online grocery and its limitations:

- Challenge with perishables is keeping them cool until they reach customers' fridge
- For dry goods with high turnover, the economics are really quite different versus other goods like books or electronics: grocery is often a high ratio of weight to cost, so shipping becomes expensive; meanwhile grocery is also high turnover in a store (therefore low inventory in a store) versus book or electronics, which makes the grocery store format more efficient than a physical book store or an electronics store

For these reasons, other kinds of retailing were far more disrupted by Amazon than grocery. That said, Amazon, Walmart, Kroger, and Instacart have had some success with online over the past 20 years, especially in dense urban areas like NYC. They've certainly been trying, and that's a mitigating factor for this risk. Amazon Fresh started in 2007, and began expanding heavily 2013. There's nothing new about the technology of online grocery, and a handful of players have been focused on making it work for over a decade.

Okay, to your specific question: could the recent pivot to building out a same-day delivery network be a step change that massively increases grocery competition? Yes, it could. However, it's not the only such pivot that we could have assessed as a major threat. We could have said that in 2013 when Amazon started rolling out Amazon Fresh, in 2017 when they acquired Whole Foods, in 2020 when they opened the first brick and mortar Amazon Fresh store, or in 2023, when they expanded Amazon Fresh delivery beyond prime members. I think it's too early to know what impact the recent pivot will have on grocery sales. I'm going to wait for more data. I accept if you think this is complacency.

What do you think?

Subject Cyclicality
Entry 08/13/2026 10:24 AM
Member igorious

I think you're ignoring the very real issue of Amazon/WF here. NVGC and SFM have both been ceeding share to WF in the past 12 months, and WF is pressing the gas on expansion.

Subject Re: A few follow-up questions
Entry 08/13/2026 10:59 AM
Member SamPR

Hi GLSV,

Quick question: do you have access to sell side research? I used to, but no longer do (I left big firm some years ago). If you do have access, give Scott Mushkin a call. He visits a lot of stores every year, and will have much better answers to these questions than I will (especially relating to pricing and customer experience). Personally, I'd be interested in hearing what he has to say about these questions -- please share along if you can. That said, I'll do my best.

1) I have not seen such a recent pricing study, and I wouldn't trust most brokers that would do it based on visiting a couple of stores and checking 10 items. It needs to be more systematic and with a larger sample size to be very meaningful. With that said, I do believe that NGVC has lower prices than the other chains you mentioned, perhaps with the exception of Whole Foods if we consider the 10% discount for Prime Members -- that may end up being cheaper. FWIW, I think this is the right question you are asking. From anecdotal evidence and management's speech on conference calls and annual reports, I am confident that they are focused on driving down prices in their stores, which is what any successful grocer (think Costco, Kroger, HEB, Wegmans, Market Basket, etc) must do for long-term sustainability.

Note that NGVC tends to be more EDLP vs. Sprouts more promotional. While not always true, I think EDLP can be a better long-term strategy because you don't train your customer to always look for a deal.

2) I don't know -- the company doesn't share much data. However I do think both NGVC and SFM are similar in that they likely aren't the only weekly shop for most of their customers. If you need your favorite brand of cereal or soft drink, you'll certainly find it at Kroger, and you certainly won't find it at NGVC.

3) Comps go up and down. Sometimes it's easy to explain (e.g. COVID), but often it's something invisible. I pasted the available 15-years of comp data, and swinging ~5% (as we have done from 2025 to 2026) isn't that uncommon.

4) I spoke to IR about this a couple of years ago, and he basically stone-walled me (on this and nearly every other one of my questions). If you can speak to the CFO or CEO, maybe you'll get more info, but I've found them incredibly uninterested in speaking with shareholders. My impression is they were very naive in the years of high growth (2010 to 2018), with an attitude of just spend and build as quickly as possible. The margins suffered, and they retrenched. Now they want to build their pipeline again, and they are doing so with more conservatism and thoughtfulness, considering things like organic demand and proximity to competition. They aren't going for the most dense or affluent areas necessarily. Their Q4 2025 call has some quotes about this, but not a lot of granular detail.

5) I don't have a lot of nuance or information on this one.

Subject	Re: Cyclicality
Entry	08/13/2026 11:06 AM
Member	SamPR

Igorious, thanks for the feedback about Amazon/WF. I appreciate it! I hope you're wrong, but if you're right, at least I'll be less surprised.

Subject	Major Catalyst to Significantly Boost Comps/Sales and Increase EPS
Entry	08/14/2026 02:33 PM
Member	natey1015

SamPR--I want to give you a shout out for bringing NGVC to my attention a couple years ago. I made some good money on it and just reloaded at $26.50. In fact, I was in the midst of writing it up when you posted the idea. I think your write-up misses some key pieces, including a major catalyst to meaningfully boost comps and EPS in the coming quarters/years.

First, I think it's important to highlight this is essentially a 2nd generation family owned and operated company. The four siblings who are involved with the company own ~60% of the equity and are paid a combined very reasonable ~$3M in cash comp (no stock based comp). Collectively they have ~$400M reasons to do what is in the best long term interests of the business, including making the right capital allocation decisions. As a result, they collect ~$9M in annual dividends. They may move more slowly than some of their competitors, but I believe they are thoughtful and truly care about the ethos and legacy of the company their parents founded. This will likely be owned and operated by the third generation down the road. Delivering the best customer value is part of its ethos and to that end Chairman and co-President Kemper Isely had this to say on the most recent call: "We've always been the price leader compared to our closest competitors in our industry, and we still are."

The family wanted to create a differentiated in-store experience. They talk about their assortment being 100% certified organic produce, 100% pasture-based dairy, minimum egg standard is free range, etc.--something SFM and WFM/AMZN does not have. They maintain a growing list of ingredients that are not sold in their stores. Essentially, they are like the old school Whole Foods and have a very loyal customer base.

In a sense, they have thought of themselves as being almost as unique as Trader Joes, which does not have any e-commerce customer offerings. While NGVC never went that extreme as they partnered with CART beginning in 2015, they certainly were very biased towards having their customers come into the store as opposed to ordering online.

On the flip side, you have SFM, which began its partnership with CART in early 2018 and then initiated one with DASH in late 2022 and subsequently with UBER in late 2023. This is a major reason why SFM has out comped NGVC over the past few years. In the last quarter SFM's online sales grew 12%+ bringing its digital penetration to ~16%.

On 2/10/25, I wrote an email to NGVC's management asking them if they had any plans to partner with DASH and/or UBER in the near future. On 2/11/25, I received this response from VP Treasurer Jessica Thiessen: "Currently we believe that our customers prefer our convenient and compelling in-store experience, as evidenced by our sustained and balanced sales growth over recent years. We recognize that it is an evolving space, and plan to continue exploring delivery options in the future."

Fast forward 1.5 years later and it is fairly obvious (at least to me) what is happening. Online grocery industry wide is accelerating--please see my write-up on CART and look at its Q2'26 results of 14% revenue and GTV growth, which is up from 13% GTV growth in Q1'26. The grocery industry's online penetration now is ~14% compared to NGVC's at 2%!!! Even one of the worst grocery operators, Albertsons, saw 13% digital sales growth last quarter bringing its online penetration to nearly 10.5%.

Now let's examine NGVC's most recent numbers in the quarter. Sales comp was 1.2% with a basket comp of 3.1% and a -1.8% transaction comp. {N}power, its customer rewards program, made up 84% of total sales as its members' average basket size is almost 50% more than non-members. So what I think is happening is that it has a very loyal, older customer base who continues to shop at its stores regularly. They care about eating healthy and are willing to spend the money. But what they are missing is attracting a younger, upper-middle class, working person who increasingly wants the ability to order their groceries online--and that is where they have been losing share.

So what do you know, NGVC finally announced a partnership with DASH in mid-July and thus had no benefit to its Q2'26 earnings. While CART dominates the $75+ large basket order, within grocery DASH and UBER do very well with a younger customer base with a smaller average order. Naturally, I emailed Thiessen if there is any reason why NGVC would not ultimately have a partnership with UBER and her response to me on 8/10/26 was: "We are very excited about expanding our e-commerce capabilities. In mid-July we launched our partnership with DoorDash featuring **in-store pricing** and have been pleased with the early results. Over the coming months, we plan to introduce additional enhancements, including integrating our {N}power rewards program with DoorDash, enabling online shopping through the Natural Grocers website, and **offering curbside pickup across all stores**. We will continue to evaluate additional opportunities to serve customers however these choose to shop, which could include additional partnerships."

My read on this is that it is only a matter of time before UBER Eats is a partner as well. And if you listen to what CART has to say about grocers that offer in-store pricing online, they grow at a much faster rate than those who do not. I believe NGVC has 14% of incremental sales on its existing store base coming its way over the next couple years. I do not believe these sales are in any major way cannibalistic to existing sales because I think there is enough evidence to support that these sales will come from a younger shopper ordering smaller baskets who generally is not currently shopping with NGVC because they were not partnered with DASH/UBER.

I think we're looking at ~$200M of incremental sales at a mid-teens contribution margin or ~$30M of operating income equating to ~$1.00 of EPS on a current EPS base of $2.09. That's upwards of a 50% boost to EPS. One can quibble with how much of the 14% gap they'll get vs. SFM over the next couple years and what the incremental margin will be on those sales, but no matter what assumptions you make, this is very material to earnings and it's just a matter of time before we see this flow through the income statement.

Another driver that should boost margins over the coming years is increasing private label penetration. NGVC is currently at 9.7% vs. SFM at 26%. NGVC grew its penetration by 110 bps year-over-year and plans to increase it by a steady 100 bps every year to ensure product quality is maintained. Private label is typically 1000 bps higher margin than selling third-party brands. So this represents a ~$22M operating income opportunity or ~$0.75 in EPS over the coming decade. At ~$0.05 in EPS per year, it's clearly not material, but an easy 2%+ annual boost to EPS is nice to have on a low multiple stock.

Last, but not least is a meaningful long-term opportunity for the company. With GLP-1 penetration only going up over time and in my view will accelerate once the drug class begins to go generic in 2031-2032 resulting in much lower pricing, NGVC is an enviable position to gain share. That is because people will be eating less, but want to eat better food at affordable prices.

One of the things that really separates its in-store experience apart from all other grocers is its Nutritional Health Coach Program, which educates and empowers customers and Crew to make informed decisions. Every store has a Nutritional Health coach with a nutrition-related degree. NGVC provides free one-on-one nutrition health coaching sessions, in-store events, personalized shopping experiences, and holds community nutrition classes. Its stores serve as an onsite resource for nutrition training and education for crew members. As more people take a GLP-1, I believe more will want an affordable way to get nutritional coaching.

Add all of the above to a mid-single digit new store growth opportunity (on a 172 store base across 22 states) and I think you've got a very good risk/reward at the current price. I hope this information is helpful to anyone considering an investment in NGVC.

Subject	Re: Major Catalyst to Significantly Boost Comps/Sales and Increase EPS
Entry	08/14/2026 03:01 PM
Member	CT3 1HP

Natey - "tremendous [incremental] content" here. And SamPR - thank you for the original pitch, elegant in its simplicity.

Since I'm not familiar with the online grocery experience (I'm not about to let some random stranger select my avocados!), could you outline the economics a bit further from NGVC's point of view? What are the margin dynamics of offering in-store pricing for delivery orders? Thx

Subject	Re: Re: Major Catalyst to Significantly Boost Comps/Sales and Increase EPS
Entry	08/14/2026 06:12 PM
Member	natey1015

My pleasure. Regarding your avocados you can now specify how ripe you want them—the ability to customize grocery preferences is getting better and better on CART and DASH.

As far as third party e-commerce economics to grocers go, I think a lot of it depends on whether one views them as cannibalizing in-store sales. In NGVC's case I don't think that is the case given it's currently at 2% digital penetration. You can make various assumptions to arrive at a contribution margin on these sales, but I think you look at the two main pieces—a 34% gross margin and a 4% operating margin.

Within that 30% delta there is enough margin to share with CART/DASH/UBER where it's a win/win/win for the customer/NGVC/3rd party delivery service provider. In essence, I view these 3rd party providers to some degree as outsourced marketing spend, which replaces some of the variable SG&A expense a pure brick and mortar retailer would have against those sales.

I end up at a mid-teens contribution margin on 14% of incremental sales opportunity to potentially be realized over the next couple years. For a sanity check, SFM's incremental margin over the past 2.5 years post partnering with DASH and UBER is 13%. NGVC's contribution margin could be a little bit worse or better than this—don't think it's worth getting hung up on the minutiae. The key is whether or not the incremental sales comes through and I don't see any reason why it should not over time.